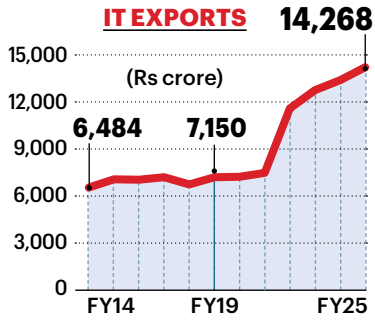
₹6,770
CRORE
Total investments in the Sector V IT hub in Kolkata from 2022 onwards

₹27,000
CRORE
Amount of investment proposals in the Bengal Silicon Valley tech hub that can generate 75,000 direct/ indirect jobs

WHERE THE CASH REGISTERS RING

The spike in the value of IT and ITeS exports from Bengal, especially since the boom from 2018-19



Source: STPI Kolkata

Association, says that the inauguration of Infosys's campus, the expansion of Wipro and ITC Infotech, and the entry of players like LTIMindtree have had a domino effect, with these anchor firms drawing in ancillary businesses. Bengal's geographical location has played a part too. Its digital hinterland, comprising people who are directly or indirectly connected to the digital economy in Bihar, Odisha, Jharkhand and the Northeast, and accounting for nearly 30 per cent of India's population, make it ideal for data centres, with downstream effects on commerce. Also, elite institutions like IIT Kharagpur, IIM Calcutta, Jadavpur University and Indian Statistical Institute provide a high-quality, cost-effective talent pool in areas like AI, blockchain, IoT and cybersecurity. "Kolkata is also attracting both GCCs (global capability centres, which drive innovation) and GDCs (global delivery centres, which deliver standardised projects) of large foreign entities that not only need IT professionals but also accountants and legal experts, who are available in high



"Since Kolkata had long been supplying talented professionals to Indian cities, IT companies found it worthwhile to refocus on it to retain that talent. This made operations less expensive and more efficient"

ALAPAN BANDYOPADHYAY, *Chairman, Nabadiganta Industrial Township Authority, New Town Kolkata Development Authority*

50 acres for its hyper-scale data centre, Reliance Jio has taken 40 acres to set up an IT park and LTIMindtree has 20 acres. "Our target is to have 5,000-6,000 people in the Kolkata centre by the end of FY26," says Chetana Patnaik, chief HR officer at LTIMindtree.

Taking note of Bengal's digital renaissance, Kalyan Kar, vice-president of the Sector V Stakeholder's

numbers at a moderate cost," says Kar.

Also, unlike in the past, today's investors find Bengal easier to navigate. Project clearances—including building plans and occupancy certificates—are processed within eight working days. Build-ready land parcels in Sector V and New Town increase the appeal. "With proactive policies and world-class infrastructure, we are shaping the future of digital innovation in India," claims Babul Supriyo, the state's minister of information technology. Expectedly, real estate is booming in the tech hubs of Sector V, New Town and BSV. According to Sushil Mohta, chairman of real estate firm Merlin Group, Kolkata absorbed about 1.9 million sq. ft of office space in 2023 and 2.2 million sq. ft in 2024. The IT boom has also led to tertiary economic growth, generating high demand in housing, entertainment, education, healthcare, travel, hospitality and luxury.

Persistent Challenges

For all its recent resurgence, Bengal's IT sector is not without challenges. Many new IT jobs are in low-salary brackets. Unlike Bengaluru or Hyderabad, Kolkata has yet to attract a significant migrant, high-spending workforce. Retention of employees, says a senior IT executive, requires not just jobs but competitive salaries, career prospects and a vibrant city experience. One cause for concern is the fact that, in March 2025, the state government revoked some financial benefits to industries, citing the need to redirect funds to welfare schemes.

In addition, insiders argue, Bengal needs updated, forward-looking IT and startup policies. Without them, the momentum could stagnate. Despite strong uptake, many of Bengal's 26 IT parks remain underutilised, with limited investment beyond Sector V and New Town. "If Kolkata truly wants to take off, it must evolve into a city that attracts and retains high-end talent from across the country. No company will rely solely on local talent—it has its limitations," says R. Chandrasekhar. Cities like Bengaluru, Delhi-NCR and Hyderabad have succeeded because they became cosmopolitan magnets for professionals. For Kolkata to reach that next phase, it must become a city where non-locals choose to live, work and thrive, he says. The potential for Bengal's IT industry to rise to the front ranks is vast, but the window for transformation is narrow. ■